

**NATIONAL AGENCY FOR EXAMINATIONS (NAE) NATIONAL EXIT
EXAMINATION FOR STUDENTS OF ETHIOPIAN LAW SCHOOLS
2003- 2015 E.C ACADEMIC YEAR Trader and Business Organization**

1. Companies under Commercial Code of Ethiopia are always
 - A. Civil in nature
 - B. Commercial in nature
 - C. Either commercial or civil in nature
 - D. Neither commercial nor civil in nature.
 - E. None.
2. Which of the following is not true about a share?
 - A. Share is either movable or immovable property.
 - B. Share gives rights and liabilities to the holder.
 - C. Share is the interest of the share holders in the company measured by the sum of money.
 - D. Shareholder is a part-owner of the company.
3. Shareholders of Share Company have two categories of rights. These rights are _____ and _____
4. Explain the Forms of share under the Commercial Code of Ethiopia (5%)
5. Which of the following is true about elements of business?
 - A. Incorporeal elements, such as goods and equipments constitute the main element.
 - B. Corporal elements, such as goods and equipments constitute the main element.
 - C. Incorporeal elements, such as trade name and trade mark constitute the main element.
 - D. Patents and copy right constitute the main element.
 - E. All

6. Who are the founders of Share Company under the Commercial Code of Ethiopia?

- A. Persons who sign memorandum and articles of association and subscribe the whole capital of the company.
- B. In the case of public share company, persons who sign prospectus.
- C. Any outsider who initiated the plans of facility for the formation of the company.
- D. All.
- E. None.

7. Which of the following organ has the power to call general meeting of shareholders of the share company?

- A. Auditors.
- B. Board of directors.
- C. Liquidators.
- D. Person nominated by the court.
- E. All.

8. Which of the following is **not** true about special meeting of shareholders in Share Company?

- A. Special meeting is a meeting in which all share holders shall attend.
- B. Special meeting must be called to approve decisions of general meetings modifying special right of share.
- C. The rule of extra-ordinary meeting as to quorum and majority is applicable to special meeting.
- D. All.
- E. B&C.

9. Partnerships under commercial code of Ethiopia

- A. Are always legal persons.
- B. Are either commercial or civil.
- C. Have legal personalities.
- D. Have maximum limit regarding number of partners. E. None.

10. General Partnership

- A. Has unlimited liability.
- B. Is a partnership whose partners are jointly, severally and personally liable to the firm's debt.
- C. May be either commercial or civil.
- D. All.
- E. None.

11. Joint venture is

- A. A partnership having legal personality.
- B. A partnership whose partners are active in all business activities.
- C. The only business organization which is not legal entity.
- D. A partnership having firm name of its partners.
- E. A partnership which owes the properties of its partners.

12. Shares in private limited company

- A. Are freely transferred among their shareholders.
- B. Need a majority vote of at least 75% to transfer them to outsiders.
- C. Give preemption right to its shareholders.
- D. Shall be transmitted to the heirs of the share holders.
- E. All.

13. Briefly explain the effects of registration of business. (5%)

14. Which of the following may be regarded as non-traders under the Commercial Code even when they undertake the activity professionally and for gain?

- A. Handicraftsmen.
- B. Farmers.
- C. Ranchers.
- D. Fishermen.
- E. All.

15. In which of the following business organizations can contributions be owned by the members?

- A. Limited partnerships.
- B. Ordinary partnerships.
- C. Private limited companies.
- D. Companies limited by shares.
- E. General partnerships

16. One of the following statements is wrong regarding sharing profits and losses in business organizations.

- A. In companies limited by shares, members get profits in proportion to their shareholding.
- B. In ordinary partnerships, share of profits and losses can be equal for all partners regardless of their shareholding.
- C. In private limited companies, losses can be shared between members who have not made their contributions.
- D. In companies, members always stand to share losses arising out of the business in proportion of their shareholding.
- E. In limited partnerships, general partners share losses jointly and severally

17. Briefly explain the different class of shares in share companies. (5%)

18. Demonstrate the difference between private limited company and company limited by shares. (6%)

19. One of the following is **not** true about joint ventures under the Commercial Code:

- A. Their existence may be not disclosed to third parties.~
- B. They are managed by their
- C. Unless disclosed to third parties, liability of the inactive partner can be limited.'--
- D. They are not true business organizations. - \1-\,':'
- E. They can be used to operate small scale businesses.~

20. A provisional document that a share company gives to its subscribers until share certificates are issued is known as:

- A. Share warrant.
- B. Bearer share.
- C. Debenture.
- D. Prospectus.
- E. Registered share

21. One of the following is true about dissolution of a share company under Ethiopian law?

- A. Dissolution of a share company can be effected only by agreement of the shareholders.
- B. Dissolution of a share company can be decided by an ordinary meeting of the shareholders.
- C. When a share company is in the process of liquidation, it is primarily administered for the benefit of its creditors.
- D. Once a share company enters a dissolution process, it automatically loses its personality.
- E. Winding up of a share company precedes its dissolution.

22. One of the following is correct regarding the difference between civil matters and commercial matters?

- A. The former is more dynamic than the latter.
- B. Practice and custom are more important in case of the former than the latter.
- C. Joint and several liability is presumed in the case of the latter as opposed to the former.
- D. The latter is more stable than the former.
- E. The former needs speedier trial than the latter.

23. Which one of the following type of share is easily transferable?

- A. Registered share.
- B. Preferential share.
- C. Bearer share.
- D. Redeemed share.
- E. Dividend Share.

24. Which one of the following is true about 'business' under Ethiopian Commercial Law?

- A. It is a corporeal element.
- B. Immovable property forms part of it.
- C. A substantial component of it is good will.
- D. Trade name, trademark and industrial design are part of the corporeal element of business.
- E. Immovable goods and equipments constitute the main part of business

25. One of the following is correct about joint venture.

- A. It is a registered business organization.
- B. It has legal personality.
- C. It is a secret business organization.
- D. It must be made in writing.
- E. It usually undergoes bankruptcy proceeding

26. One of the following is true about the similarities and differences between cooperatives and business organizations?

- A. Both business and cooperative organizations have an economic interest.
- B. Both have a profit motive.
- C. Both are governed under the same law.
- D. Both arise out of a partnership agreement.
- E. Both are governed under the commercial code.

27. One of the following is not a pre-requisite for establishment of a business organization under Ethiopia commercial laws?

- A. Entering into partnership agreement.
- B. Plurality of parties.
- C. Mobilization of resources.
- D. Membership to a trade Union
- E. Economic motive.

28. Which one of the following is true about forms of business organizations recognized under Ethiopian commercial law?

- A. All forms of business organizations should have legal personality.
- B. All forms of business organizations arise out of partnership agreement.
- C. All forms of business organization are commercial.
- D. A single person business organization can be established.
- E. Liability of all forms of business organization is limited.

29. Which one of the following is not an incorporeal element of business?

- A. Good will
- B. Trademark
- C. The right to lease the premises in which the trade is carried on
- D. Raw materials
- E. Patent or copy right

30. Which one of the following is not true about the relationship of partners with third parties?

- A. The creditors of the partnership can claim against partnership assets.
- B. The creditors of the partnership may claim against the personal property of the partners.
- C. The partners can avoid joint and several liability towards creditors by express agreement.
- D. Any provision relieving one of the partners from a joint and several liability may be set up against third parties where such parties were aware of such provision.
- E. Where a partner gives an interest in his partnership share to a third party or assigns his share to him, the third party becomes a partner and will have the same rights as other partners.

31. Which one of the following is not a common ground of dissolution for all forms of Business Organizations?

- A. Dissolution by notice
- B. Dissolution through the order of court
- C. Legal dissolution
- D. Consensual dissolution
- E. Judicial dissolution

32. Which one of the following is not true about management of a joint venture?

- A. The manager of a joint venture may or may not be a partner in the joint venture.
- B. A statutory clause that restricts the powers of the manager may be set up against t third parties.
- C. A joint venture could be managed by more than one manager.
- D. In the absence of appointed manager, each partner of a joint venture will have the status of manager.
- E. The manager is known to third parties.

33. Which one of the following is incorrect about the liability of founders of a share company?

- A. Failure to ensure the full subscription of the capital of a share company entails liability of the founders.
- B. Any claim for damages against the founders could be barred by period of limitation.
- C. sworn by experts appointed by the founders which may otherwise entail the liability of the later.
- D. The liability of the founders could include criminal liability.

34. The memorandum of association of a share company shall include all except

- A. The name of the company
- B. The business purposes of the company
- C. The name and address of the manager
- D. The par value, number, form and classes of shares
- E. The period of time for which the company is to be established

35. Under the Commercial Code, transfer of shares from members to outsiders in private limited companies is

- A. prohibited by law.
- B. subject to approval by unanimous consent of shareholders.
- C. subject to approval by simple majority vote of shareholders.
- D. made in writing, lest it shall be void.
- E. not regulated.

36. Which of the following organs helps in managing the agency problem between the board of directors and the general meeting of shareholders?

- A. The general manager
- B. The Auditors
- C. The board secretary
- D. The board chairperson
- E. The government

37. Founders in share companies CANNOT be entitled to

- A. reimbursement of their expenses made during company formation.
- B. payment of compensation for their services during company formation.
- C. payment of salary for the duration of company formation.
- D. dividends in respect to the shares they own in the company.
- E. board member fee even if they serve in the board of directors.

38. One of the following is true about the liability of board of directors?

- A. Directors have no liability to creditors of the company, only the company is liable.
- B. Directors can be liable to individual shareholders.
- C. Only the company can enforce director liability after resolution of the general meeting.
- D. Each director has proportional individual liability to creditors or company.
- E. Directors can have no liability to shareholders of the company.

39. A general partnership under Ethiopian law is NOT

- A. a separate legal person from its members.
- B. a commercial business organization.
- C. jointly and severally liable with its members for partnership debts.
- D. a personal association of persons.
- E. established by a memorandum of association.

40. Which of the following reasons CANNOT result in dissolution of a private limited company?

- A. The death of a shareholder
- B. The decision of the government
- C. Expiry of the term for which the company was established
- D. Serious disagreement between the shareholders
- E. Loss of its entire capital

41. Which of the following laws applies on traders only?
- A. Commercial Registration and Business Licensing Proclamation
 - B. The Commercial Code of Ethiopia
 - C. The Civil Code of the Ethiopia
 - D. The Banking Business Proclamation No.592/2008
 - E. Trade Competition and Consumer Protection Proclamation
42. One of the following shall NOT be grounds of dissolution of private limited company.
- A. Declaration of dissolution by the court for good cause.
 - B. Dissolution at the request of any member where the term of the company has been fixed.
 - C. Expansion of the company across states.
 - D. Bankruptcy or insolvency of a member.
 - E. If the capital of the PLC falls below the minimum amount fixed statutorily.
43. One of the following is NOT the features of joint venture under the commercial code of Ethiopia.
- A. The joint venture should not be known to third parties.
 - B. There are no formality requirements for the validity of a joint venture formation.
 - C. There is no registration or no publicity.
 - D. Acquiring legal personality before starting the business is a requirement in joint venture.
 - E. No name of its own; partners deal with third parties in their own names.

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